

POLICY & REGULATION

East Harlem RFP Tests Whether City Land Can Deliver Affordable Housing Without Subsidy

NYC's 485-x framework shifts risk to developers; the bid response will reveal true development economics.

July 21, 2026 · New York YIMBY · 4 min read

A source-grounded Light Tower Insight. The complete note follows.

The city of New York wants 140 homes on a vacant lot in East Harlem. It wants them affordable under 485-x. And it wants them built without public subsidy.

That is the central tension in the request for proposals issued Monday by the New York City Economic Development Corporation for the B-East site on Second Avenue between East 125th and East 126th Streets. The RFP requires a mixed-use residential building with affordable housing pursuant to 485-x, the state law that provides a property tax exemption in exchange for income-restricted units. But the city is not putting cash into the deal.

The question the market should test is not whether a developer can build 140 units on this site. The question is whether the economics of 485-x alone, without a direct capital subsidy, can produce a viable project on city-owned land in a neighborhood where rents and construction costs have their own gravity.

The site has sat vacant for nearly two decades, a fact Manhattan Borough President Brad Hoylman-Sigal pressed in a statement accompanying the release. That timeline is not an accident. The East 125th Street Development plan was approved in 2008, and the B-East parcel has carried its approvals since then. But the gap between approval and execution is the gap between a zoning map and a financing stack. The city is now asking the private market to close that gap.

The RFP lands alongside a larger reimagining of the district's remaining parcels. NYCEDC, HPD, the Department of Education, and the School Construction Authority recently presented plans to Community Board 11 for the A-Block: A-West and A-East, which together are expected to yield more than 1,000 homes, 40 percent of them affordable, plus two new public schools. The B-East RFP is the first test of whether the city's current policy toolkit can deliver on that ambition.

485-x is the centerpiece of the city's affordable housing strategy. It replaces the expired 421-a program and offers a 35-year property tax exemption for projects that set aside a percentage of units as income-restricted. The law is designed to make affordable housing feasible without direct subsidy by reducing the carrying cost of the land and the building. But feasibility depends on the gap between the rent the market can support and the rent the tax break can support.

In East Harlem, that gap is narrower than in higher-rent neighborhoods, but it is not zero. Construction costs in New York have not softened. Interest rates remain elevated. And the city is requiring the project to meet or exceed a 30 percent M/WBE participation goal, deliver a comprehensive local hiring and wage program, and advance sustainability and carbon-neutrality targets. Each of those requirements adds cost or complexity to the capital stack.

The developer who wins this RFP will be the one who can underwrite the project with the thinnest margin for error. That means a sponsor with access to low-cost equity, a construction lender willing to accept tighter proceeds, and an operating plan that can push rents to the maximum allowed under 485-x without triggering affordability recapture. It also means a sponsor who can manage the political risk of a project that will be scrutinized by the community board, the borough president, and the city council.

The city's incentive is to get the site developed without writing a check. The developer's incentive is to build a project that pencils. Those incentives align only if the 485-x tax exemption is deep enough to offset the cost of the city's requirements and the risk of the market. If the bids come in thin or not at all, the city will have to decide whether to add subsidy, relax requirements, or let the site sit vacant for another two decades.

The RFP responses are due Tuesday, October 20, 2026. By then, the market will have a clearer sense of whether 485-x is a viable replacement for 421-a or just a placeholder until the next legislative session. The B-East site is not a large project by New York standards. But it is a test case for the city's affordable housing policy, and the bids will reveal whether the policy can produce homes without subsidy or whether the city will need to put its own capital on the table.

The market should watch the number of respondents, the quality of the sponsors, and the terms of the financing commitments. If the RFP draws multiple credible bids, the city's approach is working. If it draws one bid from a nonprofit with a deep subsidy pipeline, the policy is not yet self-sustaining. The answer will shape how the city approaches the larger A-Block parcels and every other city-owned site in the pipeline.

SOURCES

— New York YIMBY —

<https://newyorkyimby.com/2026/07/rfp-issued-for-140-unit-housing-development-at-b-east-site-in-east-harlem-manhattan.html>

LIGHT TOWER GROUP